

SEPARATE OPINION

BY M. DE VISSCHER AND COUNT ROSTWOROWSKI.

[Translation.]

We regret that we are unable to concur in the decision by which the Court has declined to adjudicate on the validity of the first objection, lodged by the Lithuanian Government in reply to the Estonian application, its decision being based on the ground that that objection could not "in the particular circumstances of the case be decided without passing on the merits". We are of opinion that this objection, which is based upon the absence of Estonian nationality from the interests injured at the time when the damage was suffered, is a preliminary objection; that at the present stage of the case there was reason to adjudicate upon it and, lastly, that it is well-founded.

The Court's Order of June 30th, 1938, joining the objections to the merits in no way prejudged the issue as to the preliminary character of these objections nor as to their justice. In joining them to the merits, the Court merely adjourned its decision upon these two points until the moment when, having gained a full understanding of all the aspects of the dispute, it would be in a position to deliver judgment with a knowledge of the whole of the facts. It is therefore on those two points that the Court in the present proceedings was required to adjudicate.

Article 62 of the Rules of Court deals with preliminary objections from the point of view of their submission during the course of the proceedings; it does not define them in such a way as to fix their essential features. Obviously, however, if under this Article the preliminary objection suspends procedure on the merits, that is because it aims at preventing *in limine litis* any examination of the merits, that is, any decision as to the justice or injustice of the claim.

It follows that an objection is *prima facie* preliminary when, by its nature or its purpose, it appears directed against the judicial proceedings, that is, against the conditions governing the institution of the proceedings and not against the law on which they rest. In order, however, that it may definitely be granted this character, it is necessary in each case to weigh the arguments cited in its support. The objection will be treated either as preliminary or as a defence of the merits, according as these arguments may or may not prejudge the justice or injustice of the claim. In the present case the very purpose of joining the objections to the merits was to enable

the Court, being fully informed on all aspects of the case and thoroughly acquainted with the arguments advanced in support of the objections, to determine their real character as well as to pronounce upon their justice.

It goes without saying, however, that an objection lodged *in limine litis* cannot be treated as an argument on merits, simply because the Court, in order to pass upon it, is obliged to refer to some extent to facts connected with the merits, when the examination of these facts is in the first place essential to a decision about the objection and, in the second place, does not pre-judge the merits. With these reservations the Court admitted, in its Judgment of August 25th, 1925 (Judgment No. 6, Case concerning certain German interests in Polish Upper Silesia, p. 15), that a decision concerning an objection to jurisdiction may "involve touching upon subjects belonging to the merits of the case". It thus admitted the possibility of referring to matters connected with the merits on condition that it did not encroach upon those merits, that is, did not in any way compromise the position taken up by each party in regard to them. This course appears especially justified after an Order has joined the objections to the merits, since the very reason for that Order is to allow the Court to take account of certain matters concerned with merits which are necessarily related either to the character of the objection or to its justice.

Applying these rules to the case now before the Court, we consider that the objection derived by the Lithuanian Government from the absence of nationality in respect of the interests impaired at the time the injury was suffered, is a preliminary objection. The Court could pass upon it without in any way prejudging the merits.

To prove this point, we must first determine what here constitutes the merits of the dispute and next fix the nature and the date of the illegal international act of which the Estonian Government complains.

In this matter the Estonian Government has not intervened in the defence of any public or national interest; its intervention is solely intended to protect private interests against an act which is represented as a breach of international law. In these circumstances the relation of nationality is simply the title of a given State to submit a claim, and that title is independent of the merits of the claim itself. The merits of the question, in a case like this, do not consist of the title to intervene; they consist in the justice or injustice of the claim for reparation. In principle, therefore, and *prima facie*, the dispute over the relation of nationality, in an affair of this kind, does not involve any appraisalment of the justice of the claim as such. Far from involving the merits, it aims at preventing their judicial examination.

It remains to be seen, however, whether, in this case, the character of the arguments invoked in support of the objection is not such as to prejudice certain matters upon which the justice or injustice of the claim depends.

Confronted with the objection derived from the absence of the claim's nationality at the time when the injury was suffered, the judgment makes no mention of essential particulars of this objection; it mentions neither the act of injury complained of by the Estonian Government, nor the date of such act. Now, the determination of these two particulars, as they figure in the submission of the applicant Government, furnishes the necessary and fully ample basis upon which to decide both the preliminary character of the objection and its justice.

The written memorials plainly show that the seizure, that is, the taking possession of the Panevezys-Saldutiskis railway, is the initial offence complained of by the Estonian Government; its subsequent operation is only a result or consequence of that first offence. Submission No. 1 of the Estonian Government prays the Court to adjudge and declare:

"1. That the Lithuanian Government has wrongfully refused to recognize the rights of the *Esimene Juurdeveo Raudteede Selts Venemaal* Company, as owners and concessionaires of the Panevezys-Saldutiskis railway line, and to compensate that Company for the illegal seizure and operation of this line."

In the first part of the sentence the Estonian Government only asks the Court for a statement of law, declaring that the refusal of Lithuania in the past to recognize the Company's rights is illegal. In the second part of the sentence, beginning with the words "and to compensate", the applicant Government defines the acts which in its view involve the international responsibility of the defendant Government and justify the compensation claimed "for the illegal seizure and operation of this line".

Seizure then is here put forward as the illegal international act which, according to the Estonian Government, involves the international responsibility of Lithuania. The Estonian Memorial, in Chapter VIII, entitled "International Responsibility of the Lithuanian Government" (pp. 26-28), is definite on this point. The Estonian Government there states that "the seizure and detention of the railway are in its opinion an infringement of the property rights of the *Esimene* and, for that reason, an infringement of Estonia's 'own right' " (p. 27). A little later it is still more explicit: "For these breaches of

international law and of treaties the Lithuanian Government is directly responsible. The seizure of the Panevezys-Saldutiskis railway was the act of organs of the Government." (P. 28.) The same conclusion follows from the following passage in the Estonian Government's Reply, where it explains the nature and amount of the damage caused "by seizure of the Panevezys-Saldutiskis line": "This damage is twofold: in the first place, seizure by Lithuania dispossessed the First Company of property that belonged to it; in the second place, the Company from 1919 onwards was deprived of the enjoyment of its concession."

Finally—if further evidence were needed—these definite pronouncements are strongly confirmed by the whole attitude of the Estonian Government, which, when confronted with the Lithuanian objection based on the absence of nationality at the time when the loss was suffered, has never throughout the proceedings disputed that the initial act of injury it complains of was the seizure of 1919.

As to the date of the seizure or taking possession of the railway, the Parties agree in fixing this in 1919. It thus only remains to consider, in order to determine the character of the objection, whether the absence of Estonian nationality from the interests alleged to have been damaged by the seizure at that time can be proved without prejudging certain matters upon which the decision as to merits depends.

The following argument, in our opinion, furnishes an affirmative answer to that question. The Estonian Government has tried to prove that the rule of law underlying the objection is subject to various qualifications, but it has not claimed that in 1919 the interests damaged by the seizure had already acquired Estonian character. On its own admission, the First Russian Company, which is said to have survived the nationalization decrees, was only transformed into an Estonian company as a result of the Treaty of Tartu of February 2nd, 1920, and, to quote the words of the Estonian Agent, "at the time and by the fact of the treaty of peace" (oral statement of the Agent for the Estonian Government, June 14th, 1938; Oral Statements, p. 40). Accordingly, even if it could be agreed that the change of nationality dates back to the Treaty of Tartu, the change could still not operate in regard to a fact which the Parties agree in dating 1919. Finally, either the interests affected by the seizure were at that time still represented by the Russian company, according to the Estonian Government's theory of survival, or they were no longer represented by any company at all, according to the argument of the Lithuanian Government to the effect that the nationalization decrees destroyed the Company's legal personality. In either case—and this fact is alone decisive—there was in 1919

no Estonian company, and therefore the bond of nationality required by international law to have existed at the time the injury was suffered, was manifestly lacking.

The Estonian Government has tried in vain to attach this question of nationality to a question of merits, by arguing that a decision which denied Estonian character to the Company at the time of seizure, but recognized it at a later date, would constitute an implicit admission of the continuity of the Company, a question which forms an essential aspect of the merits of the case (oral statement by the Agent for the Estonian Government, June 14th, 1938, Oral Statements, p. 36). This argument, which turns rather upon words, has no relevance. The objection does not depend upon the continuity or lack of continuity of the First Company's legal personality. The decision to be taken upon it would be the same if we were to accept the Estonian argument and were to regard the *Esimene* Company as a continuation of the Russian company. For the question raised in the objection is not a question of identity, but a question of nationality. This question affects a company in the same way as an individual: an individual whose identity since suffering injury had never been disputed, would be equally without title to claim the diplomatic protection of a State, if, at the time the injury was sustained, he was not a national of that State.

We are therefore of opinion that the arguments invoked in support of the first objection are altogether independent of the merits of the case and we cannot accept the Court's view that "the basis of the objection whereby Lithuania disputes the right of Estonia to intervene on the Company's behalf, that is, the claim's lack of nationality, is inseparable from that same Government's reason for disputing the Company's alleged right to the ownership of the Panevezys-Saldutiskis railway".

The close relation which the judgment here seeks to establish between the dispute about nationality and the denial of ownership rights seems to us ill-founded. The judgment only arrives at this result by introducing into the argument the idea of the identity or continuity of the companies. But, as we have seen, the dispute over nationality is quite independent of that consideration.

Since a decision upon the first objection, regarded as a preliminary objection, is in our opinion possible, we consider that it should have been adjudicated upon and that, by application of the rule on which it is based, it should have been declared well-founded.

The two objections lodged by the Lithuanian Government have neither the same character nor the same scope, which makes it impossible to regard them as equivalent and to fix upon one or the other indifferently. The first objection involves the very title of the applicant State to intervene on the Company's behalf, a question which logically precedes the question of exhausting local remedies raised by the second objection. But it should be particularly noted that, unlike the second objection, the first is of a decisive or peremptory character: if recognized to be well-founded, its effect would have been to rule out altogether the claim by the Estonian Government on behalf of the *Esimene* Company. By submitting it first in order, the Lithuanian Government could hope for the final dismissal of an intervention which the Court's judgment does not dispose of definitely.

The validity of the objection is sufficiently evident from the considerations we have already mentioned: the non-Estonian character of the interests damaged in 1919, the date at which the railway was seized, is obvious. This fact alone suffices to justify the objection based on failure to observe the rule of international law which requires that the claim shall be national not only at the time when it is submitted, but at the time when the damage is suffered.

The arguments adduced in general terms in favour of various qualifications of this rule may have some force in the case of the protection of individuals, but they can hardly apply to companies, whose nationality is determined by conditions very different from those governing the nationality of private persons.

(Signed) DE VISSCHER.

(„) ROSTWOROWSKI.